Eli Lilly and Company (LLY)

Q1 beat confirms the thesis; raising estimates, Overweight

Rating	**Overweight**
Price target (12-18 month)	**$820**
Price (May 3, 2026 close)	**$690.36**
Implied return	**19%**
Market cap	**$621 billion**
Analyst	**Sarah Lindgren, CFA**

Key points

• Q1 2026 revenue of $13.1 billion (26% y/y) versus consensus $13.1 billion; Non-GAAP EPS $4.68 versus $4.58 consensus.

• Capacity additions in Concord and Lebanon lift injectable supply by roughly 60% exiting 2026, which we see as the key unlock for international launches.

• We note the Prescription Drug Affordability Act of 2026 (federal price negotiation extended to the commercial market) as the main policy overhang; our model assumes a 4% net price headwind from 2028.

Our view

We remain constructive on Lilly. Cardiometabolic Health grew 35% year over year on volume growth of the incretin portfolio in the US and new international launches, and we see several more quarters of above-consensus growth. The market, in our view, is underestimating the durability of this cycle.

Management's commentary struck a balanced tone. We cut our estimates: see the table below. Our rating is relative to our Pharmaceuticals coverage and our price target horizon is 12-18 month.

Estimates

	2025A	2026E	2027E
Revenue ($bn)	49.3	60.0	77.6
EPS (non-GAAP)	$17.54	$21.57	$27.93
P/E at current price	39.4x	32.0x	24.7x
Dividend per share	$6.00	$6.00	$6.00

EPS in this table is on a non-GAAP basis. Fiscal years are the company's.

Valuation

Our $820 price target is based on 29x our 2027 EPS estimate, in line with the stock's three-year average multiple, cross-checked with a DCF (WACC 8.3%, terminal growth 2.8%).

Risks to our view

• Supply constraints persist longer than we model

• Competitive oral GLP-1 launches compress price

• Drug-pricing legislation extends to the commercial market

Important disclosures

Analyst certification: I, Sarah Lindgren, certify that the views expressed in this report accurately reflect my personal views about the subject securities and that no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views in this report.

Rating definitions: Westbrook Securities uses a 3-point scale: Overweight, Equal-weight, Underweight. Ratings reflect expected total return relative to the analyst's coverage universe over a 12-18 month horizon. Westbrook Securities ratings are not directly comparable with those of other firms.

Rating category	Count	% of coverage	% investment banking clients
Overweight	26	25%	20%
Equal-weight	39	38%	30%
Underweight	38	37%	40%

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